

Iran Ceasefire "On Life Support" — Nifty Sheds 2.2% as Oil Spikes to \$109, Rupee Hits Record Low 95.98

Trading Week: May 10 - May 16, 2026

23,643.50
NIFTY 50 (-2.2% WOW)

75,238
SENSEX (-2.7% WOW)

\$109/bbl
BRENT CRUDE (+8%)

95.98
USD/INR (RECORD LOW)

15,693
GOLD 24K (PER GRAM)

1. The Week in One Paragraph

Indian equities suffered their worst week since April, with Nifty 50 losing 2.2% (-532 points) to close at 23,643.50 and Sensex shedding 2.7% (-2,090 points) to 75,238. The week was a tale of three phases: a brutal Monday selloff (Sensex -1,500 pts on May 12, wiping Rs 10+ lakh crore in wealth), a mid-week V-shaped recovery on Wednesday-Thursday (+1.18% on May 14), and a Friday fade as profit-booking in metals and energy erased the day's gains. The proximate triggers were the collapse of the Iran ceasefire narrative — Trump called it "on massive life support" — which sent Brent crude surging 8% from \$101 to \$109/bbl, and OpenAI's \$4 billion deployment venture announcement which spooked IT stocks to 52-week lows on Monday.

2. Headline Indices

Index	Friday Close	Weekly Change	Key Level
Nifty 50	23,643.50	-532.65 (-2.20%)	Intra-week low: 23,379.55 (May 12)
Sensex	75,238	-2,090 (-2.70%)	Monday crash: -1,500 pts
Bank Nifty	~53,555	~-2.2%	Below key 54,000 support
Nifty Midcap 100	Declined	Negative	Lost ATH momentum from prior week

3. The May 12 Crash & Mid-Week Recovery

Monday May 12: The Sensex plummeted nearly 1,500 points in the fourth consecutive session of losses, erasing Rs 10-16 lakh crore in investor wealth over 4 days. The Nifty touched an intra-week low of 23,379.55. IT stocks hit 52-week lows — TCS and Infosys bore the brunt as OpenAI's \$4B deployment venture raised disruption fears. The rupee touched ~95.7, a fresh lifetime low.

Wednesday May 14: Markets staged a powerful V-shaped recovery. The Sensex surged 789.74 points (+1.06%) and Nifty rallied 277 points (+1.18%) to 23,689.60. IT rebounded +2.2%, Pharma led with +2.74% (Dr. Reddy's, Sun Pharma). Tata Motors PV jumped 4.2% on improved margin guidance despite lower quarterly profit.

Friday May 16: Profit-booking returned. Nifty closed at 23,643.50 (-46.10 / -0.19%) as late selling in metals and oil-and-gas stocks wiped out most of the day's early gains.

4. Sectoral Performance

Top Gainers (Friday May 16)

Stock	Change
Tata Motors PV	+5.14%
Dr. Reddy's	+3.04%
Infosys	+1.92%
Coal India	+1.84%
Tech Mahindra	+1.79%

Top Losers (Friday May 16)

Stock	Change
Hindalco	-3.47%
Eternal	-1.96%
Nestle India	-1.88%
Tata Steel	-1.87%
Reliance	-1.67%

5. Oil & Geopolitics: Iran Ceasefire Collapses

The dominant macro story of the week was the collapse of the Iran ceasefire narrative. US President Trump called the month-old ceasefire "unbelievably weak" and "on massive life support" after rejecting an Iranian counterproposal to end the conflict. WTI jumped 4.19% to settle at \$102.18/bbl, while Brent crude settled up 3.42% on a single session to reach \$109/bbl by week's end — an 8% weekly surge from the prior week's \$101 level.

For India, every \$10/bbl rise in Brent widens the current account deficit by ~0.3% of GDP and adds approximately \$15 billion to the annual import bill. The reversal from last week's oil optimism (when Brent was at \$101 on Iran MoU hopes) to this week's \$109 on ceasefire collapse is a stark reminder: oil remains India's single most volatile external risk factor in 2026.

Oil Risk Alert: Brent has swung from \$101 to \$109 in just one week. The \$100-\$110 range remains the "high anxiety" zone for Indian macro — sustained levels above \$110 would pressure RBI to delay rate cuts and put further strain on the rupee and current account.

6. Currency & Bonds

- USD/INR:** Record low territory at 95.88-95.98. The rupee weakened from last week's 94.44 as rising oil prices and resumed FII selling pressured EM currencies globally.
- 10-Year G-Sec Yield:** Rose to ~7.0% (month high) as investors turned cautious ahead of key inflation readings and oil-driven import bill concerns.
- Gold (24K):** Rs 15,693/gram — holding near elevated levels as geopolitical uncertainty supports safe-haven demand.
- RBI Stance:** Repo rate unchanged at 5.25% (neutral). GDP projection: 6.9%. With oil back above \$109, the June 3-5 MPC rate-cut probability has diminished further.

7. FII / DII Institutional Flows

The Big Picture: FIIs have pulled out Rs 1.92 lakh crore from Indian equities YTD in 2026 — already eclipsing the Rs 1.66 lakh crore withdrawn in the entirety of 2025. DIIs have absorbed Rs 1.7 lakh crore (~90% of FII selling), powered by record SIP flows of Rs 31,115 crore/month.

On May 14, FIIs turned net buyers for a session at Rs 187 crore (a rare positive day), while DIIs bought Rs 684 crore. The broader trend remains: FIIs selling systematically due to dollar strength, elevated US yields, and EM risk-off — while domestic SIP-driven flows provide a structural floor under Indian equities.

Monthly SIP contributions edged lower from Rs 32,087 crore (March) to Rs 31,115 crore (April) — a ~3% decline but still robust by historical standards. With 9.72 crore contributing accounts, the SIP engine remains India's single most important market stability mechanism.

8. Q4 Earnings Update

- Tata Motors (May 16):** Stock surged +5.14% despite quarterly profit decline — markets rewarded sequential improvement in margins and free cash flow across India and JLR businesses, plus strong volume guidance.
- Broader Q4 season:** 56% of 1,254 stocks declaring results reported positive outcomes — a significant uptick from prior quarter's 46%, signalling broad-based earnings improvement.
- IT sector:** After hitting 52-week lows on Monday (OpenAI disruption fears), the sector rebounded 2.2% mid-week — but remains the worst-performing sector of 2026 YTD.

9. Mutual Fund Industry Update

- April 2026 AMFI Data:** Industry clocked aggregate inflows of Rs 3.22 lakh crore. Equity schemes attracted Rs 38,440 crore (~5% below March's Rs 40,450 crore but among the strongest monthly readings).
- SIP Flows:** Rs 31,115 crore in April (vs Rs 32,087 crore in March). The 3% dip is negligible — 9.72 crore accounts contributing systematically.
- Key takeaway:** Despite the worst single-day crash of 2026 on May 12, there is zero evidence of retail SIP stoppage panic. The structural floor holds.

10. Week Ahead: May 17-23

- **Domestic:** More Q4 results (banking, FMCG heavyweights); F&O expiry week; continued FII flow monitoring
- **Global:** US-Iran developments remain the swing factor; US CPI data; Fed commentary; China PMI
- **Oil:** Iran ceasefire status — any positive signal could push Brent below \$105; failure risks \$115+
- **RBI watch:** June 3-5 MPC looms — with oil at \$109 and rupee at record lows, rate cut probability has fallen sharply

11. Key Data Dashboard

Indicator	Current (May 16)	Prior Week	Change
Nifty 50	23,643.50	24,176.15	-2.20%
Sensex	75,238	77,328	-2.70%
Brent Crude	\$109/bbl	\$101/bbl	+7.9%
USD/INR	95.98	94.44	-1.6%
Gold (24K/g)	Rs 15,693	~Rs 15,500	+1.2%
10Y G-Sec	~7.0%	~6.9%	+10 bps
India VIX	Elevated	17-18 band	Spiked mid-week
Monthly SIP	Rs 31,115 Cr	Rs 32,087 Cr	-3% (robust)

12. Market Outlook

CAUTIOUSLY BEARISH

Near-term risks are elevated: Brent back above \$109, rupee at record lows, Iran ceasefire collapsing, and the June RBI MPC unlikely to deliver a rate cut in this environment. Support comes from resilient DII flows, healthy SIP momentum, and improving Q4 earnings breadth. The Nifty's 23,380-23,650 zone is critical — a sustained break below 23,380 could invite further selling toward 23,000. On the upside, any positive Iran ceasefire development could trigger a rapid relief rally similar to mid-April.

13. SIP Investor's Playbook

This Week's SIP Advice: Monday's 1,500-point Sensex crash followed by Wednesday's 789-point recovery in just 48 hours is a textbook example of why timing the market is impossible — and why your monthly SIP is doing exactly what it should. Your May installment bought units at lower NAVs on Monday-Tuesday that are already worth more by Friday. This is SIP advantage in real-time. Continue your flexi-cap, multi-cap, and large-cap regular plans without interruption. If you have surplus cash, consider a tactical top-up into your existing equity regular plans — not as a "bottom call" but as disciplined allocation when markets are 5-6% below recent highs.

14. Advisor's Corner

The Rs 10 lakh crore wealth destruction headline on May 12 was designed to scare you. But here is the reality: by Wednesday, half of it was back. By Friday, the Nifty was just 46 points below Thursday's level. The investors who panicked on Monday and stopped their SIPs missed Wednesday's 1.18% bounce — units they will never recover.

Your Trustner Relationship Manager is available for a 15-minute portfolio check-in if this week made you anxious. A calm 10-minute conversation about your 10-year goal is worth more than 100 panicked WhatsApp forwards. Call or WhatsApp: 6003903737.

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